Investment Products

CHAPTER 6: Fixed-Income Securities: Features and Types



Debt or Fixed-Income Securities

- A type of security that promises to pay the lender rent (“interest”) and returns the principal (“par”) at a specified date.
- The security may or may not be secured by a specific pledge.
- The debt is typically outstanding for more than one year.

Rationale Behind Issuance of Debt

- Use of financial leverage
- Financing deficits
- Financing growth opportunities

Bond Features

Coupon Rate

- the expressed rate of interest income paid by the issuer
- typically fixed for the term of the security
- some bonds do pay a variable coupon rate

Par Value

- the nominal or face value of the bond
- the amount the issuer pays at maturity of the security
- quoted using a base value of 100

Bond Features

Term to Maturity

- the remaining life of a bond
- the maturity date is the date at which the bond matures and the principal is returned to the holder

Categorizing Bonds by Term to Maturity

Money Market

- Up to one year term to maturity

Short-Term Bonds

- From one up to five years remaining to maturity

Medium-Term Bonds

- From five to ten years remaining to maturity

Long-Term Bonds

- Greater than ten years remaining to maturity

Callable Bonds

Callable (Redeemable)

- issuer may pay bond off (i.e. call it in) before maturity
- depends on behaviour of market interest rates
- call price typically set above the par value of the bond
- premium seen as compensation for being called before maturity
- Canada yield calls

Question:

When would the issuer find it advantageous to call a bond?

What if the bond was ‘non-callable’ or ‘non-redeemable’?

Sinking Fund and Purchase Fund Debt

Sinking Funds

- Sums of money which are set aside out of earnings each year to provide for the repayment of all or part of a debt issue by maturity

Purchase Fund

- A fund set up to retire a specified amount of the outstanding bonds or debentures through purchases in the market ***if*** purchases can be made at or below a stipulated price

Extendible and Retractable Bonds

Extendible debt

- Bonds that are issued with a short maturity term but with the "option" for the holder (or investor) to exchange the debt for an identical amount of longer-term debt

Retractable Bonds

- Bonds are issued with a long maturity term but with the option for the holder (or investor) to turn in the bond for redemption at par several years sooner

When would the investor elect to exercise either option?

Convertibles

- a ‘two-way’ security
- combines the advantages of a bond with the option of exchanging the bond for common shares
- with the conversion privilege the holder has an opportunity to participate in the capital appreciation of the underlying shares
- the feature makes the issue more attractive or saleable

Treasury Bills

Features:

- Offered in $1,000 increments
- Original terms of 3-month, 6-month and 1-year maturities
- Do not pay interest
  - sold at a **discount** and mature at 100 (par)
  - difference between purchase price and par is the return on the investment
  - this return is taxable as income and not as a capital gain

Types of Corporate Bonds

Mortgage Bonds

- secured by pledge of land, buildings or equipment

Collateral Trust Bonds

- secured by pledge of securities

Equipment Trust Certificates

- secured by equipment – for example, railway cars

Subordinated Debentures

- junior to other securities or debt

Types of Corporate Bonds

Floating Rate Securities

- Adjust to changing interest rates

Corporate Notes

- rank behind all other fixed-interest securities of the issuer

Strip Bonds (Zero Coupon)

- Separate coupons and principal of high-quality bond

Preferred Securities

- Long term subordinated debentures

Foreign Bonds and Eurobonds

- issued in currency and/or country other than issuer

Foreign Domestics and Eurobonds

Domestic Bonds:

Bonds denominated in the currency and the country of the issuer.

Foreign Bonds:

Bonds issued outside the issuer's country and denominated in the currency of the foreign country where issued.

Eurobonds:

Bonds issued in a foreign market and denominated in a currency other than that of the market where the bonds are issued.

Foreign Bonds and Eurobonds

Example: A Canadian company issued bonds *denominated* in Japanese Yen in the Japanese market, these would be ***foreign bonds***.

Example: Bonds issued by a Canadian company or government in Japan, denominated in U.S. dollars would be ***Eurobonds***.

Exercise

Issuer:	Issued in:	Currency:	Called:
Can.	Canada	Cdn$	_____
Can.	Mexico	Pesos	_____
Can.	France	US$	_____
Can.	European Mkt	Cdn$	_____
Can.	US	US$	_____

Exercise - Answers

Issuer:	**Issued in:**	**Currency:**	**Called:**
Can.	Canada	Cdn$	*Domestic bond*
Can.	Mexico	Pesos	*Foreign bond*
Can.	France	US$	*Eurobond*
Can.	European Mkt	Cdn$	*Eurobond*
Can.	US	US$	*Foreign*

Other Types of Fixed-Income Securities

- Bankers' Acceptances
- Commercial Paper
- Term Deposits
- GICs

Explain the Following Bond Quote

XYZ Co 11½ June 1/20XX 99.25 99.75 11.75

- XYZ:
- 11½:
- June 1/20XX:
- 99.25:
- 99.75:
- 11.75:

Explain the Following Bond Quote

XYZ Co 11½ June 1/20XX 99.25 99.75 11.75

- XYZ is the company
- 11½ is the coupon
- June 1/20XX is the maturity date
  - the bond matures on June 1, 20XX
- 99.25 represents the percentage of par (the bid price)
- 99.75 represents the ask price
- 11.75 is the bond's yield to maturity